

PARDEE RESOURCES COMPANY

2ND QUARTER 2020



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q2 2020, Pardee Resources Company incurred a loss of \$0.36 per share, versus earning \$5.41 per share during Q2 2019, as operations on our properties were significantly impacted by the economic downturn resulting from COVID-19. EBITDA during the quarter was \$1.59 per share, versus \$9.46 per share during Q2 2019. Coal production from our properties was temporarily idled and hardwood timber harvests were reduced. Natural gas production from our properties was steady, although prices were significantly below 2019 levels. By the end of the quarter, while natural gas prices remained weak, both coal and timber production from our properties was trending upward.

Coal & Minerals Division: The metallurgical coal markets weakened further during Q2 2020 as COVID-19 wreaked havoc on global steel demand. Most domestic met coal producers temporarily ceased operations during the quarter to reduce inventories and assess the impact of COVID-19 on the safety of their workforces. By the end of the quarter, many operations had restarted, including those at our Pardee Land and Big Huff North tracts, albeit at lower levels. In May 2020, the operation at our Powellton tract was acquired out of bankruptcy, yielding a \$803,342 cure payment to the Company for pre-petition bankruptcy liabilities and providing a new operator which is focused on producing the property's high value metallurgical coal.

Oil & Gas Division: During Q2, natural gas spot market prices averaged \$1.72 per MMBtu (NYMEX), 35% below Q2 2019 average prices. LNG exports were particularly weak with several shipments to Europe and Asia being cancelled due to the pandemic. While above average storage levels are expected to keep downward pressure on prices until the upcoming winter heating season, a dramatic fall in active rig counts suggests lower production going forward, helping to push average spot market futures above \$2.60 per MMBtu for 2021. Production from our properties held steady during Q2 2020, declining only 3.6% versus Q2 2019.

Timber & Surface Division: Both hardwood and softwood markets have been significantly impacted by COVID-19 and its effects on world economies. Indeed, during the first half of the year consumption of U.S. hardwood lumber, including exports, was 24.3% below Q1 2019 levels. While exports to China improved markedly in April, other export markets, including Vietnam, Canada, and Europe, weakened. Domestic markets were especially impacted during Q2 as certain wood-consuming industries, such as new home construction, were temporarily shut-in. Division hardwood production declined 22.2% versus Q2 2019 levels, as only one timbering crew was active at our Pardee & Curtin tract at the Q2 low point. Fortunately, with the markets improving, as of early July six harvesting crews were again active at the Pardee & Curtin property, boding well for Q3 results.

Agriculture Division: Southern California weather was favorable for our table grape ranches during Q2 2020, and current estimates are for 2020 yields to be higher than 2019 levels.

Current market assessments suggest average prices will be higher than last year's as well, with no sign of the excess supply we have experienced in recent years. While there has been a spike in COVID-19 cases recently in California, including the region where our ranches are located, farm field operations are not expected to be significantly affected. Separately, the development of our 420-acre Portugal almond farm investment remains on schedule to deliver its first harvest in Q3 2021, though a decline in demand due to COVID-19 has negatively impacted 2020 almond prices.

Alternative Energy Division: Electricity sales from our solar PV facilities have been unaffected by COVID-19 because of their long term fixed price contracts. Similarly, the operation and maintenance of the solar PV systems has proceeded with no impacts. Division revenue during the quarter was 10.4% higher than last year's level due primarily to more favorable weather conditions. As the original 10-year SREC sales contracts expire on our New Jersey systems, we've executed new contracts, representing incremental revenue for these investments. Similarly, we registered our 4.7 MW California solar PV system to sell renewable energy credits in California, and sold our first credits. DC Solar represents a potential loss of up to \$7.2 million, the status of which remains unchanged (For more information on the DC Solar matter, please see the legal footnote on page 6 of this report).

Strategic Focus: As COVID-19 spread during the quarter, our first concern remained the health and welfare of our employees, most of whom continued to work from home. While operating in an environment where the U.S. GDP declined an estimated 34% during Q2, we remained acutely focused on managing our business. We are heartened with the recent improvement of operations on our properties, and thankful for our diversified portfolio and strong balance sheet, which as of June 30, 2020, included \$25.9 million in cash and no debt. While keeping a particularly close eye on our financial position and prioritizing the payment of our common dividends, we continue to search for new investment opportunities which may arise from distressed situations within our areas of expertise.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
Benjamin A. Burditt

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>06-30-20</u>	<u>12-31-19</u>
Current Assets:		
Cash & Cash Equivalents	\$25,906	\$22,239
Accounts Receivable	3,429	7,099
Prepaid Income Taxes	638	802
Other	<u>1,972</u>	<u>1,405</u>
	<u>31,945</u>	<u>31,545</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	29,225	29,600
Mineral Rights - Coal	33,566	33,618
Timber	10,900	11,181
Solar Equipment	22,490	23,145
Building & Structures	1,314	1,355
Agriculture Development	8,032	7,367
Equipment	595	619
Automobiles	113	86
Other Fixed Assets	<u>874</u>	<u>864</u>
	<u>107,109</u>	<u>107,835</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	39,817	41,301
Equity Investments	469	442
Right of Use Asset	3,652	3,841
Other	<u>3</u>	<u>104</u>
Total Assets	<u><u>\$182,995</u></u>	<u><u>\$185,068</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$2,365	\$2,175
Deferred Revenues	561	1,096
Current Portion Lease Liability	<u>584</u>	<u>584</u>
	3,510	3,855
Noncurrent Liabilities:		
Asset Retirement Liability	156	154
Supplemental Pension Plan	439	425
Deferred Revenue, Net of Current Portion	1,314	1,275
Deferred Taxes	17,820	17,819
Lease Liability	3,301	3,544
Other	<u>72</u>	<u>58</u>
Total Liabilities	<u>26,612</u>	<u>27,130</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	14,061	14,905
Accumulated Other Comprehensive Income	41	41
Retained Earnings	164,677	166,562
Treasury Stock	<u>(26,185)</u>	<u>(27,347)</u>
	153,369	154,936
Noncontrolling Interest	<u>3,014</u>	<u>3,002</u>
Total Equity	<u>156,383</u>	<u>157,938</u>
Total Liabilities & Equity	<u><u>\$182,995</u></u>	<u><u>\$185,068</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>06-30-20</u>	Three Months Ended <u>06-30-19</u>	Six Months Ended <u>06-30-20</u>	Six Months Ended <u>06-30-19</u>
Divisional Revenues:				
Coal & Minerals	\$1,550	\$5,701	\$3,940	\$9,686
Oil & Gas	735	1,921	2,379	3,970
Timber & Surface	821	1,458	1,826	2,557
Alternative Energy	1,378	1,250	2,160	1,972
Agriculture	<u>253</u>	<u>0</u>	<u>253</u>	<u>0</u>
	<u>4,737</u>	<u>10,330</u>	<u>10,558</u>	<u>18,185</u>
Divisional Expenses:				
Coal & Minerals	859	732	1,558	1,360
Oil & Gas	1,133	1,353	2,303	2,688
Timber & Surface	746	762	1,490	1,455
Alternative Energy	512	739	1,095	1,334
Agriculture	<u>274</u>	<u>170</u>	<u>433</u>	<u>338</u>
	<u>3,524</u>	<u>3,756</u>	<u>6,879</u>	<u>7,175</u>
Net Operating Income	\$1,213	\$6,574	\$3,679	\$11,010
Interest and Other Income	19	48	88	116
Gain on Equity Investment	57	43	47	28
General and Administrative	(1,573)	(1,762)	(3,163)	(3,499)
Interest Expense	<u>0</u>	<u>(65)</u>	<u>0</u>	<u>(131)</u>
Income Before Taxes	(\$284)	\$4,838	\$651	\$7,524
Taxes	<u>(74)</u>	<u>1,258</u>	<u>169</u>	<u>1,956</u>
NET INCOME	(\$210)	\$3,580	\$482	\$5,568
Net (Income) Loss to Noncontrolling Interest	<u>(23)</u>	<u>18</u>	<u>(6)</u>	<u>36</u>
Net Income (Loss) to Pardee Resources				
Shareholders	<u>(\$233)</u>	<u>\$3,598</u>	<u>\$476</u>	<u>\$5,604</u>
EARNINGS PER SHARE	(\$0.36)	\$5.41	\$0.73	\$8.42
EBITDA PER SHARE	<u>\$1.59</u>	<u>\$9.46</u>	<u>\$5.17</u>	<u>\$15.75</u>
(earnings before interest, taxes, depreciation and amortization)				
Weighted Average Number of Common Shares Outstanding	<u>653,519</u>	<u>665,190</u>	<u>653,519</u>	<u>665,190</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>	<u>\$3.60</u>	<u>\$3.60</u>
Total Shareholder Return (dividend paid plus change in stock price)			<u>-14.44%</u>	<u>2.18%</u>

Pardee Resources Company Comparison Data Sheet

	Three Months Ended <u>06-30-20</u>	Three Months Ended <u>6-30-19</u>	% <u>Change</u>	Six Months Ended <u>06-30-20</u>	Six Months Ended <u>6-30-19</u>	% <u>Change</u>
Coal & Minerals						
Revenues - Millions	\$1.55	\$5.70	-72.8%	\$3.94	\$9.69	-59.3%
Production - Coal Tons - Millions	0.32	0.91	-64.8%	0.83	1.67	-50.3%
Royalty/Coal Ton	\$2.93	\$4.53	-35.3%	\$3.03	\$4.47	-32.2%
Oil & Gas						
Revenues - Millions	\$0.74	\$1.92	-61.5%	\$2.38	\$3.97	-40.1%
Production - bcfe	0.54	0.56	-3.6%	1.29	1.22	5.7%
Price/mcfe	\$1.52	\$2.91	-47.8%	\$1.81	\$3.03	-40.3%
Timber & Surface						
Revenues - Millions	\$0.82	\$1.46	-43.8%	\$1.83	\$2.56	-28.5%
Production - Board feet - Millions	1.61	2.07	-22.2%	4.17	4.70	-11.3%
Stumpage Price/Thousand Bd. Ft.	\$216.67	\$228.26	-5.1%	\$206.82	\$232.89	-11.2%
Production - Softwood Tons - Thousands	6.22	0.56	1010.7%	20.67	13.67	51.2%
Stumpage Price/Ton Softwood	\$14.25	\$13.01	9.5%	\$15.30	\$15.71	-2.6%
Production - Hardwood Tons - Thousands	6.53	3.58	82.4%	13.96	10.66	31.0%
Stumpage Price/Ton Hardwood	\$1.77	\$3.00	-41.0%	\$2.09	\$3.14	-33.4%
Alternative Energy						
Revenues - Millions	\$1.38	\$1.25	10.4%	\$2.16	\$1.97	9.6%
Production - k/w - Millions	5.95	5.88	1.2%	9.58	9.07	5.6%
Electric Sales Price per k/w	\$0.110	\$0.112	-1.8%	\$0.111	\$0.114	-2.6%
Production - SREC Units	7,249	2,999	141.7%	9,224	4,840	90.6%
SREC Price/Credit	\$96	\$188	-48.9%	\$113	\$183	-38.3%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Coal & Minerals	\$0.69	\$4.97	-86.1%	\$2.38	\$8.33	-71.4%
Oil & Gas	(0.40)	0.57	-170.2%	0.08	1.28	-93.8%
Timber & Surface	0.08	0.70	-88.6%	0.34	1.10	-69.1%
Alternative Energy	0.87	0.51	70.6%	1.07	0.64	67.2%
Agriculture	(0.02)	(0.17)	88.2%	(0.18)	(0.34)	47.1%
Net Operating Income	<u>\$1.22</u>	<u>\$6.58</u>	-81.5%	<u>\$3.69</u>	<u>\$11.01</u>	-66.5%
EBITDA - Millions	<u>\$1.04</u>	<u>\$6.29</u>	-83.5%	<u>\$3.38</u>	<u>\$10.48</u>	-67.7%
(earnings before interest, taxes, depreciation and amortization)						

Lexington v. Zinn

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

Discovery is not complete, and a trial date has not been set. On October 16, 2019, the district court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This is a favorable development but is being appealed by the plaintiff.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. The Company learned through public sources in early 2019 that the U.S. government seized substantially all of the assets of DC Solar and its affiliates in December 2018. DC Solar and its affiliates, including our lessee, subsequently filed for Chapter 11 bankruptcy protection in February 2019. An affidavit from a Federal Bureau of Investigation special agent was filed in February 2019 in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceeding was subsequently converted to a Chapter 7 liquidation. Due to the bankruptcy proceedings being converted to Chapter 7 liquidation, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

An independent audit was completed in 2019 which ultimately located and identified all of the 125 MSGs purchased by the Fund in 2015. In November 2019, the Company and the Fund, along with other investors in other DC Solar sponsored funds and the funds in which they invested, filed a legal action against numerous third-party professional firms who provided services to the investors in connection with their respective purchases of the MSGs. In January 2020, the principals of DC Solar pled guilty to charges of criminal fraud and money laundering in U.S. District Court. The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from this fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$7.2 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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